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October 15, 2026

Dane Thompson, Senior Planner
City of Oceanside
Planning Division
300 N. Coast Hwy
Oceanside, CA 92054

Dear Dane Thompson:

RE: City of Oceanside – Enacted Senate Bill 79 Transit-Oriented Development Ordinance Findings Letter

Thank you for submitting the City of Oceanside's (City) enacted Senate Bill (SB) 79 Ordinance and supporting documents, adopted under Uncodified Ordinance No. 26-0R0414-1 (Ordinance) to:

- Adopt and implement SB 79 per Government Code section 65912.160, subdivision (c)(1); and
- Exempt sites per Government Code section 65912.160, subdivision (e)(1); and
- Temporarily exclude certain sites per Government Code section 65912.161, subdivisions (b)(1)(A), (b)(1)(B)(ii), and (b)(1)(F).

This letter consists of the California Department of Housing and Community Development's (HCD) findings per Government Code section 65912.160, subdivision (d)(3)(A) that the Ordinance is **not in substantial compliance** with SB 79 as of the date of this letter. The standards and provisions of Government Code section 65912.157 apply in the City unless and until the City adopts and enacts an amended Ordinance and zoning map to comply with HCD's findings.[1]

Findings

HCD reviewed the documents submitted by the City (see Attachment A – Table 1)[2] and finds that revisions will be necessary to substantially comply with the requirements of SB 79. Specifically:

[1] Gov. Code, § 65912.161, subds. (b)(1) and (b)(2).

[2] Please note that HCD also considered comments from Californians for Homeownership and California Housing Defense Fund.

1. **SB 79 Applicability Map*. TOD Zone Map*.** The San Diego Association of Governments (SANDAG) SB 79 map differs from the City's SB 79 Applicability Map for the Oceanside Transit Center and the Coast Highway Sprinter Stations. In addition, the City's SB 79 map is missing pedestrian access points for the El Camino Real Station, Rancho Del Oro Station, and College Boulevard Station. The City must modify its SB 79 map and capacity calculations to be at least as inclusive as SANDAG's map.

   HCD understands that SANDAG had not published a map or provided the map to staff at the time the City's Ordinance was drafted and the City prepared its map based on anticipated eligible TOD zones. As the City is aware, SANDAG subsequently published its TOD map pursuant to Government Code section 65912.160, subdivision (f), which shall have "a rebuttal presumption of validity for use by project applicants and local governments."

2. **SB 79 Applicability Map. *Excluded – Zoning.*** Under the "Excluded – Zoning" mapping layer, the City's online Draft SB 79 Applicability Map identifies sites that are not covered under Section 65912.157 because they are "Not Residential, Commercial, or Mixed-Use".[3] The data table associated with the map layer indicates the zoning districts for each of the sites the City considers ineligible due to the allowed uses. Government Code section 65912.157, subdivision (a) states (emphasis added): "A housing development project shall be an allowed use as a transit-oriented housing development on any site *zoned for residential, mixed, or commercial development* within one-half or one-quarter mile of a transit-oriented development stop…." HCD previously issued technical assistance explaining that "zoned for" means principally or conditionally permitted land use within a zone.[4]

   However, according to the City's Zoning Ordinance,[5] several of the zones identified principally or conditionally permit residential, mixed, or commercial development and therefore are eligible for SB 79, including:

   - **Commercial Professional District (CP):** Section 1120 (Land Use Regulations) principally or conditionally permits residential and commercial uses, including, but not limited to, single-family homes, banks and savings and loans, and business and professional offices.
   - **Downtown District (D):** Section 1220 (Land Use Regulations by Subdistrict) principally or conditionally permits residential and or commercial uses for every subdistrict except Subdistrict 15. Allowed uses vary across the subdistricts, but

[3] Available at: https://www.arcgis.com/apps/mapviewer/index.html?webmap=b618e34844614cec9e342a19021e1ca6.

[4] HCD TA Letter to the City of Los Angeles, dated June 22, 2026. Available at: https://www.hcd.ca.gov/sites/default/files/docs/planning-and-community/HAU/los-angeles-sb-79-ta-hau-2738-062226.pdf.

[5] Available at: https://www.ci.oceanside.ca.us/government/development-services/planning/codes-regulations-maps/zoning-ordinance.

commonly allowed uses include, but are not limited to, multifamily, mixed uses, animal grooming, banks and savings and loans, and full service restaurants.

- **General Industrial District (IG):** Section 1320 (Land Use Regulations) principally or conditionally permits commercial uses, including, but not limited to, animal grooming, building materials and services, commercial recreation and entertainment, home improvement, maintenance and repair services, marine sales and services, and travel services.
- **Light Industrial Zone (Coastal) (M-1/CZ):** Section 1330C (Land Use Regulations) principally or conditionally permits commercial uses, including, but not limited to, bakeries, mini/storage/self-storage facilities, and motor vehicle rental/sales.
- **Limited Industrial District (IL):** Section 1320 (Land Use Regulations) principally or conditionally permits commercial uses, including but not limited to, animal grooming, banks and savings and loans, building materials and services, home improvement, maintenance and repair services, marine sales and service, travel services, and hotels, motels and timeshares.
- **Open Space Districts (OS):** Section 1520 (Land Use Regulations) principally permits single-family residential use.
- **Public and Semipublic (Inland) (PS):** Section 1620 (Land Use Regulations) conditionally permits commercial uses, including commercial recreation and entertainment and hotels, motels and timeshares.
- **Residential Estate District (RE):** Section 1040 (Land Use Regulations) principally permits residential use.
- **Visitor-Commercial (Coastal) (VC/CZ):** Section 1130C (Land Use Regulations) principally or conditionally permits commercial uses, including, but not limited to, bar and cocktail lounges, boat sales, supplies & service, commercial fishing, diving and sportfishing - supplies and service, liquor store, recreational equipment rental and sales, restaurants, and restaurants, cafés and snack bars.

In addition, HCD understands the City also excluded certain sites in a Planned Development District (PD); however, HCD was unable to verify the land use regulations for sites zoned PD in the City's Zoning Ordinance.

The parcel land areas must be included in the City's SB 79 capacity calculations to determine whether a site is eligible for temporary exclusion pursuant to Government Code section 65912.161, subdivision (b).

3. **SB 79 Applicability Map.** ***Excluded - Wetland Buffer and Habitat Preserve.*** The City's online Draft SB 79 Applicability Map identifies sites that are not covered under Section 65912.157 because they are considered "habitat preserve" or "wetland buffer". Based on the City's Council Staff Report, HCD understands that the City considers sites within a habitat preserve, or within 100 feet of an identified wetland, as identified in the City's Vital and Sustainable Resources Element of the general plan, ineligible for SB 79.[6] The Staff report states that these sites are, "effectively

[6] City of Oceanside, City Council. Staff Report, dated June 3, 2026. File Number 26-1529. Pg. 4.

undevelopable given that a project on such a site would likely be ineligible for ministerial approval under SB 79 and would be subject to a discretionary review with environmental consideration that conflicts with multiple state and local development restrictions."[7]

However, Government Code section 65912.157 does not provide exemptions for sites identified as wetlands or habitat preserves, nor does the statute require ministerial approval of SB 79 projects.[8]

As in Finding 2, such excluded parcel land areas must be included in the City's SB 79 capacity calculations to determine whether a site is eligible for temporary exclusion pursuant to Government Code section 65912.161, subdivision (b).

4. **SB 79 Applicability Map.** ***Excluded Sites – Rent Control.*** The City's online Draft SB 79 Applicability Map identifies sites that are not covered under Section 65912.157 because they are "[e]xcluded per GOV § 65912.157(h)(1)". However, HCD previously issued technical assistance explaining that, for calculating the overall SB 79 capacity, sites may not be excluded pursuant to Government Code section 65912.157, subdivision (h).[9] The statute does not state that such sites may be excluded from the SB 79 capacity calculations, only that *SB 79 developments* that require *demolition* of such units, or where such units *were demolished*, may not be located on them (emphasis added).

   As in Findings 2 and 3, such excluded parcel land areas must be included in the City's SB 79 capacity calculations to determine whether a site is eligible for temporary exclusion pursuant to Government Code section 65912.161, subdivision (b).

5. **Ordinance Section 3.** ***Exempt Sites – Path of Travel****.* The City's online Draft SB 79 Applicability Map and Section 3 of its Ordinance exempts all sites which have a walking path of more than one mile to a TOD stop pursuant to Government Code section 65912.161, subdivision (e)(1). The Ordinance defines a walking path as, "a publicly accessible, continuous, and unobstructed path of travel with continuous paved or improved sidewalk from the closest point of the affected parcel to the pedestrian access point of the transit oriented development stop…."

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[7] Id. Pg 5.

[8] Under Government Code section 65912.159, an SB 79 project "shall be eligible for streamlined ministerial approval pursuant to Section 65913.4," which does include limitations on wetlands and habitat for protected species, among other requirements. However, Government Code section 65912.159, subdivision (b) makes it clear that the use of section 65913.4 is optional, at the discretion of the project proponent.

[9] HCD TA Letter to the City of Los Angeles, dated June 22, 2026. Available at: https://www.hcd.ca.gov/sites/default/files/docs/planning-and-community/HAU/los-angeles-sb-79-ta-hau-2738-062226.pdf.

Government Code section 65912.160, subdivision (e)(1) states (emphasis added), "The ordinance may designate areas within one-half mile of a transit-oriented development stop as exempt from the provisions of this chapter if: The local government makes findings *supported by substantial evidence* that there exists *no walking path* of less than one mile from that location to the transit-oriented development stop."

While the City provided a map identifying the sites exempted under subdivision (e)(1), HCD did not receive additional documentation providing evidence that the sites identified do not have a walking path of less than one mile from the site to the transit-oriented development stop.

Furthermore, sidewalks are not the only form of "walking path." For example, a pedestrian safety resource from the Federal Highway Administration describe sidewalks and walkways as, "'pedestrian lanes' that provide people with space to travel within the public right-of-way that is separated from roadway vehicles," and notes that, "[w]hile sidewalks are typically made of concrete, less expensive walkways may be constructed of asphalt, crushed stone, or other materials if they are properly maintained and accessible (firm, stable, and slip-resistant)."[10]

Another example from the California Transportation Department Traffic Operations Manual glossary similarly defines a 'walkway' as a, "[p]assage or path for walking such as a sidewalk or pedestrian path," and defines a 'pedestrian path' as a "[p]aved walkway along the side of the street that is specifically designed for walking. It is a facility that is physically separated from the roadway and intended for pedestrian use."[11]

As a result, HCD is unable to confirm whether the identified sites satisfy the criteria of Government Code Section 65912.160, subdivision (e)(1). The City must provide evidence that the method used to determine which sites have no walking path considers all walking paths, and not merely sidewalks.

6. **Ordinance Section 4.1. *Deferred Sites – Sufficient Local Capacity*.** Pursuant to Government Code section 65912.161, subdivision (b)(1)(A), the City's online Draft SB 79 Applicability Map and Section 4.1 of the Ordinance temporarily excludes from SB 79 all sites within a TOD zone that permit a density and residential floor area ratio at 50 percent of the standards specified by Government Code Section 65912.157, subdivision (a).

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[10] US Department of Transportation, Federal Highway Administration, *Pedestrian Safety Guide and Countermeasure Selection System (PEDDSAFE)*, "Sidewalks, Walkways and Paved Shoulders", dated August, 2013. Available at: http://www.pedbikesafe.org/PEDSAFE/countermeasures_detail.cfm?CM_NUM=1

[11] California Department of Transportation, *Traffic Operations Manual*, "Glossary". Available at: https://dot.ca.gov/programs/traffic-operations/traffic-ops-manual/glossary

However, based on the City's submitted documents and the density and floor area ratio standards in the City's Zoning Ordinance, HCD is unable to confirm that the zoning of the identified sites permits the density and residential floor ratio required by Government Code section 65912.161, subdivision (b)(1)(A). On July 30, 2026, HCD requested a more detailed spreadsheet identifying the sites, either by parcel or by zoning district, to verify that this criterion was met, but has not received the additional information as of the date of this letter.

7. **Ordinance Section 4.2. *Deferred Sites – Low Resource Area With 40 Percent Capacity*.** The City's online Draft SB 79 Applicability Map and Section 4.2 of the Ordinance temporarily exclude sites within the Oceanside Transit Center TOD zone, pursuant to Government Code section 65912.161, subdivision (b)(1)(B)(ii). This provision establishes that a city may, by ordinance, exclude sites in a TOD zone that is primarily comprised of a low-resource area and allows at least 40 percent of the aggregate density allowed under Section 65912.157, subdivision (a).

   However, based on the City's submitted documents, and related to Findings 2 through 4 above, HCD understands the City did not assess the densities as specified in Section 65912.157, subdivision (a). This issue applies to sites in several zones that principally or conditionally permit residential or commercial development, within a wetland buffer or a designated habitat preserve, or that contain more than two units subject to rent or price control. Therefore, HCD is unable to determine whether the sites would meet the criteria required by Government Code section 65912.161, subdivision (b)(1)(B)(ii).

Conclusion and Next Steps

The City has until **Monday, December 14, 2026** (60 days from this letter), to respond to these written findings.[12] Pursuant to Government Code section 65912.160, subdivision (d)(5), the City must consider the findings provided here and must either amend the ordinance to comply with HCD's findings or enact the ordinance without changes. If the City chooses to enact the ordinance without changes, it must include findings in its resolution adopting the ordinance that explain the reasons the City believes the ordinance complies with Government Code section 65912.160 despite the findings provided by HCD.[13]

Please note, per Government Code section 65912.161, subdivision (b)(2), the City's public zoning map must be updated to reflect any amendments to the sites or transit-oriented development zones that are and are not covered by Section 65912.157.

[12] Gov. Code, § 65912.160, subd. (d)(4).

[13] Gov. Code, § 65912.160, subd. (d)(5)(B).

HCD appreciates the cooperation of the City of Oceanside staff during the course of this review. If you have any questions or need additional information, please contact Auzzie Sheard at auzzie.sheard@hcd.ca.gov. HCD is committed to assisting the City in addressing all statutory requirements of SB 79.

Sincerely,



Melinda Coy
Assistant Deputy Director, Housing Accountability
Housing Policy Development

Enclosure
Attachment A – Table 1 City of Oceanside Submittal Documents

ATTACHMENT A

Table 1 City of Oceanside Submittal Documents

	Filename	Document Description	Received Date
1	Sites Located within TOD Zones.pdf	A map of sites within TOD zones that allow residential, commercial, or mixed-use development	7/20/26
2	Sites Exceeding One-Mile Walking Path.pdf	A map of sites exempted from SB 79 pursuant to Government Code section 65912.160, subdivision (e)(1)	7/20/26
3	Sites with Sufficient Local Capacity.pdf	A map of sites temporarily excluded from SB 79 pursuant to Government Code section 65912.161, subdivision (b)(1)(A)	7/20/26
4	Sites with Sufficient Local Capacity in Low-Resource Areas.pdf	A map of sites temporarily excluded from SB 79 pursuant to Government Code section 65912.161, subdivision (b)(1)(B)(ii)	7/20/26
5	Sites with a Locally Designated Historic Resource.pdf	A map of sites temporarily excluded from SB 79 pursuant to Government Code section 65912.161, subdivision (b)(1)(F)	7/20/26
6	26-OR0414-1 Ordinance Deferring Implementation.pdf	Uncodified Ordinance deferring implementation and exempting certain sites from the ‘Abundant and Affordable Homes Near Transit Act’ (SB79)	7/20/26
7	Staff Report.pdf	A summary of SB 79 and the Ordinance	7/20/26
8	Draft SB 79 Applicability Map	Map of the sites that are exempted or temporarily excluded from SB 79 by the Ordinance	7/20/26